

CHINA SOFTWARE

AI agents and AI native tools in expansion to drive growth; Meitu down to Neutral on fair valuation vs. coverage

China Software industry's July revenues saw slight recovery to 6.7% YoY from 6.4% YoY in Jun 2026, while still below Jul 2025 at 14.0% YoY, given muted IT spending with higher allocation to AI computing power and AI foundation models/ customized AI projects, and software suppliers prioritizing new products on AI agents/ AI native tools to drive paying subscribers. We reviewed software names' 2Q26/ 1H26 results (Exhibit 1) and see gradual growth recovery (1H26 avg. revenues growth at 14% YoY) and improving profitability for some companies: **Sensetime** delivered revenues growth at 23% YoY in 1H26 with rising contribution from Gen-AI to offer full-stack AI solution; **Kingdee** 1H26 revenues were up 14% YoY and NI turned positive in 1H with better economies of scale; **Empyrean** 2Q26 revenues growth rose to 14% YoY on growing client spending, with 2Q NI turning profitable; **Meitu** delivered revenues growth at 22% in 1H26, driven by AI productivity tools and overseas market.

We downgrade Meitu to Neutral from Buy on fair valuation relative to our coverage, considering sector de-rating due to potential competition and longer timeline for AI monetization. We believe the company is focused on core scenarios, leveraging last-mile tools to drive user adoption. We would turn more positive if we see accelerated ramp up in the company's paying ratio, driven by (1) overseas user penetration with localized products, (2) roll-out of attractive AI image/ video features or applications, and (3) expansion to new categories. Our new TP of HK\$5.1 (vs. HK\$10.8 previously), implies a 35% upside potential, which is unconvincing relative to our Greater China Tech coverage (avg. upside of Buy-rated names at 96%). As a result, we downgrade to Neutral from Buy.

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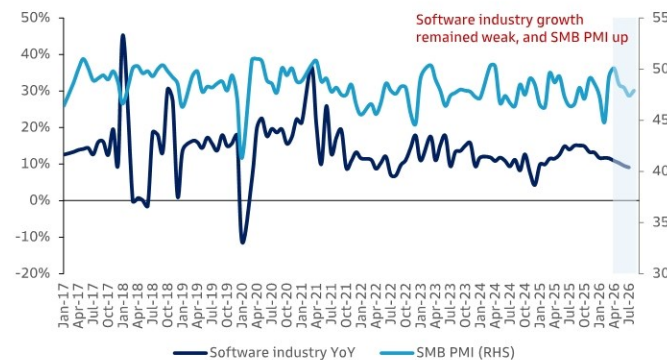
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Exhibit 1: China Software 2Q26/ 1H26 result snapshot

Company	Ticker	Segment	Revenue (LCY mn)				NI (LCY mn)			
			2Q26 Actual	2Q26 YoY	1H26 Actual	1H26 YoY	2Q26 Actual	2Q26 YoY	1H26 Actual	1H26 YoY
Empyrean	301269.SZ	EDA	310	14%	566	13%	28	NA	-45	NA
Desay SV	002920.SZ	Auto software	8,385	7%	14,901	2%	783	22%	1,245	2%
iFlytek	002230.SZ	AI	6,349	2%	11,623	7%	-34	NA	-204	NA
Chinasoft Intl.	0354.HK	IT Services	-	-	8,948	5%	-	-	350	11%
Kingdee	0268.HK	ERP	-	-	3,625	14%	-	-	54	NA
Sensetime	0020.HK	AI	-	-	2,911	23%	-	-	607	NA
Kingsoft Office	688111.SS	Office Software	1,700	25%	3,313	25%	322	-8%	2,518	237%
Sangfor	300454.SZ	Cybersecurity	2,371	36%	3,998	33%	237	NA	173	NA
Thundersoft	300496.SZ	Auto software	2,556	40%	4,305	30%	142	-	246	55%
Glodon	002410.SZ	BIM	1,459	-7%	2,028	-8%	241	16%	275	-12%
Yonyou	600588.SS	ERP	2,268	3%	3,727	4%	-206	NA	-928	NA
Meitu	1357.HK	AI video/ image	-	-	2,213	22%	-	-	619	40%

Source: Company data

Exhibit 2: Software industry growth remained weak in Jul 2026; SMB PMI up in Aug 2026

Source: MIIT, NBS

Yonyou: New YonBIP platform launched; 2Q26 muted rev growth while net loss narrowed; Sell

Yonyou released the new generation of cloud platform “1+X” BIP 6 platform and the integrated solution in late Sep, highlighting the enhanced features and deep integration with AI agents. The company also highlighted key use cases, incl. AI HR for Wanhua Chemical, and AI Finance for China Huaxin etc. The company’s 2Q26 revenues were up 3% YoY to Rmb2.3bn, which was overall in line with our estimates, with large-scale enterprise/ mid-scale enterprise revenues up 3%/ 10% YoY in 1H. The OP loss in 2Q was narrowed to Rmb166m (vs. Rmb195m/ Rmb738m in 2Q25/ 1Q26), while still below our operating profit estimates of Rmb18m. We expect the company’s enhanced platform to gradually drive large-scale clients’ spending, supporting better profitability with larger business scale.

Exhibit 3: Yonyou 2Q26 result snapshot

Rmb mn	2Q25	1Q26	2Q26	YoY	GS	Act / GS
Revenue	2,203	1,459	2,268	3%	2,338	-3%
GP	1,192	653	1,244	4%	1,295	-4%
OP	(195)	(738)	(166)	na	18	na
Pre-tax income	(240)	(753)	(202)	na	33	na
Net income	(209)	(723)	(206)	na	28	na
Margins						
GPM	54.1%	44.7%	54.9%	0.7 pts	55.4%	
OPM	-8.8%	-50.5%	-7.3%	1.5 pts	0.8%	
NPM	-9.5%	-49.5%	-9.1%	0.4 pts	1.2%	

Source: Company data, Goldman Sachs Global Investment Research

Earnings revision: We factor in Yonyou 2Q26 result, revise down 2026 net loss to Rmb550m (vs. previously at Rmb278m), and revise down 2027/ 28E earnings by 16%/ 14% mainly on lower revenues of large-scale enterprise clients, and higher opex spending to reflect higher investment in the company's R&D.

Exhibit 4: Earnings revision

Rmb m	2026E			2027E			2028E		
	New	Old	Diff %	New	Old	Diff %	New	Old	Diff %
Revenues	9,952	10,022	-1%	10,885	10,980	-1%	12,193	12,260	-1%
GP	5,033	5,084	-1%	5,650	5,715	-1%	6,471	6,526	-1%
OP	(565)	(332)	na	454	550	-18%	653	767	-15%
Net income	(550)	(278)	na	483	575	-16%	688	796	-14%
Margins									
GPM	50.6%	50.7%		51.9%	52.1%		53.1%	53.2%	
OPM	-5.7%	-3.3%		4.2%	5.0%		5.4%	6.3%	
NPM	-5.5%	-2.8%		4.4%	5.2%		5.6%	6.5%	

Source: Goldman Sachs Global Investment Research

Valuation: Our target price is derived from a DCF-based methodology (unchanged) to better capture long-term cash flow generation. We model stage 2 FCF growth in 2032E-2036E at 14%-22% YoY (vs. 14%-23% prior), and terminal growth at 2%, which is consistent with our China Tech coverage. We discount the value at a WACC of 10.8%, with a COE of 11.5% (beta at 1.3, risk free rate at 3.0%, market risk premium of 6.5%). Our DCF based target price is Rmb8.00 (vs. previously Rmb8.58).

Exhibit 5: Yonyou DCF valuation

Rmb mn	Stage 1											Stage 2				
	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E
P&L																
Revenue	8,932	9,262	9,796	9,153	9,182	9,952	10,885	12,193	13,634	15,220	16,752					
YoY	5%	4%	6%	-7%	0%	8%	9%	12%	12%	12%	10%					
Opex ratio	55.0%	56.3%	61.9%	66.3%	64.3%	56.3%	47.7%	47.7%	46.4%	46.4%	41.5%					
OP income	562	8	(1,096)	(1,717)	(1,352)	(565)	454	653	1,108	1,460	3,414					
YoY	-51%	-99%	na	na	na	na	na	44%	70%	32%	134%					
Pretax income	774	247	(910)	(2,069)	(1,334)	(514)	561	800	1,262	1,630	3,615					
Net income	708	219	(967)	(2,054)	(1,354)	(550)	483	688	1,085	1,402	3,109					
YoY	-35%	-69%	na	na	na	na	na	43%	58%	29%	122%					
GPM	61.2%	56.4%	50.7%	47.5%	49.6%	50.6%	51.9%	53.1%	54.5%	56.0%	66.4%					
OPM	6.3%	0.1%	-11.2%	-18.8%	-14.7%	-5.7%	4.2%	5.4%	8.1%	9.6%	20.4%					
NPM	7.9%	2.4%	-9.9%	-22.4%	-14.7%	-5.5%	4.4%	5.6%	8.0%	9.2%	18.6%					
Annual Recurring Revenue as % of revenue	1,650	1,917	2,061	2,032	1,933	2,500	2,980	3,596	4,334	5,198	5,984					
	18%	21%	21%	22%	21%	25%	27%	32%	32%	34%	36%					
R&D spending (Rmb m)	1,704	1,754	2,106	2,122	2,286	2,081	1,917	2,325	2,511	2,872	3,015					
R&D%	19%	19%	22%	23%	25%	21%	18%	19%	18%	19%	18%					
# of large-scale clients (units)	17,756	17,089	19,216	19,434	20,871	21,649	22,766	24,412	26,414	28,824	29,408					
Large-scale client ARPU (Rmb k)	210	257	246	226	235	260	274	286	294	299	319					
# of mid-scale clients (units)	5,297	9,988	13,309	14,856	14,940	16,964	19,925	23,955	29,263	36,145	42,563					
Mid-scale client ARPU (Rmb k)	76	63	65	68	49	54	53	53	51	50	49					
Cash flow																
CCC	33	48	63	59	35	27	21	11	1	(17)	(37)					
Capex	1,030	1,557	1,797	1,759	1,337	1,194	925	914	886	913	888					
Capex to revenues	12%	17%	18%	19%	15%	12%	9%	8%	7%	6%	5%					
Free cash flow	274	(1,271)	(1,887)	(2,033)	(525)	(1,113)	491	559	1,080	1,940	2,690	2,367	2,816	3,323	3,855	4,395
YoY								14%	93%	80%	39%	22%	19%	18%	16%	14%
Terminal growth																2.0%
Terminal value																50,851
Discount factor						1.00	0.90	0.81	0.73	0.66	0.60	0.54	0.49	0.44	0.40	0.36
Present value of FCF						(1,113)	443	455	794	1,286	1,610	1,278	1,372	1,461	1,530	1,574
Enterprise value 2026E (Rmb m)						28,901										
Cash and equivalents (net)						(1,925)										
Equity value in 2026E (Rmb m)						26,976										
Value per share (Rmb)						8.00										
WACC assumption (2026E)																
Risk free rate	3.0%															
Beta	1.30															
Market risk premium	6.5%															
Cost of equity	11.5%															
Cost of debt	6.0%															
Tax rate	15%															
WACC	10.8%															

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 6: Yonyou 12M forward P/S



Source: Eikon Datastream

Meitu: AI productivity tools and overseas market as key drivers; Downgrade to Neutral on fair valuation vs. coverage

We view AI productivity tools (Designkit, Kaipai, Vmake Labs etc.), the roll-out of new products (such as AI music video generation and AI photo retouching agents), and overseas market expansion (EU, the US, South America, SEA) as the company's key growth drivers ahead. We remain positive on Meitu, given its strong brand image in its AI photo & video generation and editing tools, continuous new products roll-outs, and wide coverage of key applications. However, we believe the new AI tools ramp up could take time to penetrate new paying subscribers and the potential competition with emerging AI multi-modal models could weigh on clients' spending.

Our TP implied 2027E P/E is 13x (vs. previously at 29x), mainly reflecting sector

de-rating due to potential competition and longer timeline for AI monetization, lower earnings due to lower revenues from AI native tools and leisure tools, and higher investments on new AI products. We would turn more positive if we see accelerated ramp up in the company's paying ratio.

Earnings revision: We revise down 2026–2028E earnings by 0%/ 10%/ 11% mainly on lower revenues and higher opex ratio. We lower revenues to reflect (1) a longer-than-expected timeline for AI agent tools (e.g. RoboNeo) to see large-scale of user monetization, given the speed and quality of Gen-AI content still has room to improve, and new entrants are offering free products to gain users' tractions and (2) leisure tools, due to lower ASP resulting from the competition from other AI products. We increase Opex spending to reflect higher R&D expenses on the development of AI tools and internal model training.

We have reviewed our model and based on current trends that Gen AI tools could still take time to drive large-scale user monetization amid the potential competition from more entrants, we think our previous assumptions for longer-term expenses and margins were too optimistic. However, we remain positive on company's capabilities to unlock new products targeting specific scenarios.

We reduce our 2027–2033E free cash flow (FCF) estimates by 8%–60%, driven by (1) lower earnings, (2) higher CCC days due to lower AP days to reflect shorter payment when migrating to new business model, and (3) reduce long-term growth rate to ~~at~~ 1% (vs. previously at 11%), reflecting the longer timeline to scale up AI monetization, we revise down our 12M TP to HK\$5.1 (vs. previously HK\$10.8), implying 13x 2027E P/E, which is relatively in line with the company's recent trading range and the company's avg. -1std of 14x. Our 12M TP of HK\$5.00 implies 37% upside; We downgrade Meitu from Buy to Neutral, as we believe the stock has reached the fair valuation relative to our coverage.

Exhibit 7: Earnings revision

Rmb m	2026E			2027E			2028E		
	Old	New	Chg	Old	New	Chg	Old	New	Chg
Revenues	4,747	4,730	0%	6,454	6,169	-4%	8,383	7,951	-5%
GP	3,426	3,414	0%	4,700	4,440	-6%	6,108	5,723	-6%
OP	1,099	1,101	0%	1,815	1,631	-10%	2,535	2,247	-11%
Net income	1,126	1,128	0%	1,696	1,534	-10%	2,348	2,093	-11%
Margins									
GM	72.2%	72.2%		72.8%	72.0%		72.9%	72.0%	
OPM	23.1%	23.3%		28.1%	26.4%		30.2%	28.3%	
NM	23.7%	23.8%		26.3%	24.9%		28.0%	26.3%	

Source: Goldman Sachs Global Investment Research

GS vs. Consensus: Our earnings estimates are 6%/ 1% lower than Bloomberg consensus in 2026/ 27E; Our revenues are higher than consensus in 2027E, while opex ratio is higher than consensus in 2026/ 27E. Our 2027 revenue estimates are 5% higher than consensus, reflecting our positive view on the company's productivity tools that would help in rising penetration ahead. Our Opex ratio is higher than consensus, as we expect higher spending on in-house model customization and AI native product development.

Exhibit 8: GS vs. Consensus

Rmb m	2026E			2027E		
	GS	Con.	Diff %	GS	Con.	Diff %
Revenues	4,730	4,781	-1%	6,169	5,871	5%
GP	3,414	3,447	-1%	4,440	4,215	5%
OP Income	1,101	1,153	-5%	1,631	1,614	1%
Net income	1,128	1,203	-6%	1,534	1,543	-1%
Margins						
GM	72.2%	72.1%		72.0%	71.8%	
OPM	23.3%	24.1%		26.4%	27.5%	
NM	23.8%	25.2%		24.9%	26.3%	

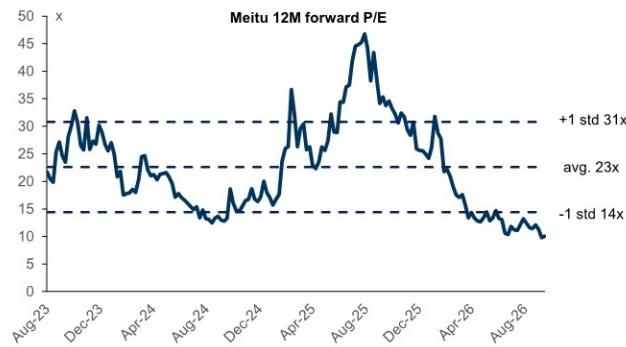
Source: Company data, Goldman Sachs Global Investment Research, Bloomberg

Valuation: Since we added Meitu to Buy on 8 Feb 2026, the stock has declined 39% vs the HSI -8%. We believe the stock's relative underperformance was largely due the slower- than- expected monetization of AI-native products. Our valuation methodology remains unchanged. Our DCF value per share is HK\$5.1 (vs. previously at HK\$10.8) based on lower FCF and WACC at 11.5% (unchanged), and terminal growth rate at 2% (unchanged). The share price currently trades at 11x 2027E P/E, largely in line with our TP implied 2027E P/E at 13x, suggesting the positives are largely reflected in the price. Our new TP implies 35% upside, which is unconvincing relative to our Greater China Tech coverage (avg. upside of Buy-rated names at 96%). As a result, we downgrade to Neutral from Buy. We would turn more positive on Meitu if we see an accelerated adoption of the company's AI tools.

Exhibit 9: Meitu DCF valuation

Rmb mn	Stage 1											Stage 2				
	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E
P&L																
Revenue	1,666	2,085	2,696	2,996	3,859	4,730	6,169	7,951	9,809	11,397	12,651					
YoY	40%	25%	29%	11%	29%	23%	30%	29%	23%	16%	11%					
Opex ratio	72.1%	60.5%	50.6%	59.6%	51.7%	48.9%	45.5%	43.7%	43.6%	46.2%	44.2%					
OP income	(76)	(74)	291	493	842	1,101	1,631	2,247	2,781	2,942	3,543					
YoY		NA	NA	NA	NA	31%	48%	38%	24%	6%	20%					
Pretax income	(11)	175	438	816	905	1,301	1,697	2,333	2,855	3,031	3,633					
Net income	(45)	94	378	799	698	1,128	1,534	2,093	2,553	2,707	3,309					
YoY		NA	NA	NA	NA	62%	36%	36%	22%	6%	22%					
GPM	67.5%	56.9%	61.4%	76.0%	73.6%	72.2%	72.0%	72.0%	72.0%	72.0%	72.2%					
OPM	-4.6%	-3.6%	10.8%	16.5%	21.8%	23.3%	26.4%	28.3%	28.4%	25.8%	28.0%					
NPM	-2.7%	4.5%	14.0%	26.7%	18.1%	23.8%	24.9%	26.3%	26.0%	23.8%	26.2%					
R&D spending (Rmb m)	545	586	635	911	945	1,125	1,407	1,814	2,310	2,957	2,530					
R&D%	32.7%	28.1%	23.6%	30.4%	24.5%	23.8%	22.8%	22.8%	23.6%	25.9%	20.0%					
Kaipai users (k units)			5	84	330	581	1,033	1,735	2,629	4,061	4,467					
Paying ratio			10.0%	12.0%	14.3%	15.5%	19.0%	22.0%	23.0%	24.5%	24.7%					
ARPU (Rmb)			40	143	188	217	236	268	315	360	380					
Meituxiuxu users (k units)			3,921	5,387	7,148	8,038	10,357	12,247	14,192	16,243	17,055					
Paying ratio			3.1%	4.0%	5.3%	5.6%	7.0%	8.0%	9.0%	10.0%	10.5%					
ARPU (Rmb)			174	179	189	208	205	207	208	208	208					
Cash flow																
CCC	(414)	(244)	(194)	(306)	(213)	(189)	(180)	(128)	(63)	12	14					
Capex	(688)	(51)	(56)	(53)	(50)	(52)	(67)	(87)	(107)	(125)	(145)					
Capex to revenues	41%	2%	2%	2%	1%	1%	1%	1%	1%	1%	2%					
Free cash flow	(714)	183	357	693	1,207	1,327	1,412	1,596	1,761	1,826	1,844	1,854	1,868	1,882	1,893	1,904
YoY			95%	94%	74%	10%	6%	13%	10%	4%	1%	1%	1%	1%	1%	1%
Terminal growth																2%
Terminal value																20,553
Discount factor							1.00	0.78	0.69	0.61	0.54	0.48	0.42	0.37	0.33	0.29
Present value of FCF							1,412	1,245	1,214	1,112	992	881	784	698	620	551
Enterprise value 2027E (Rmb m)							15,458									
Cash and equivalents (net)							5,256									
Equity value in 2027E (Rmb m)							20,714									
Value per share (HKD)							5.1									
WACC assumption (2027E)																
Risk free rate	3.0%															
Beta	1.30															
Market risk premium	6.5%															
WACC	11.5%															

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 10: Meitu 12M forward P/E

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 11: Meitu P&L Summary

RMB mn	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	1H25	2H25	1H26	2H26E
Income statement														
Revenues	978	1,194	1,666	2,085	2,696	2,996	3,859	4,730	6,169	7,951	1,813	2,046	2,213	2,517
Gross profits	699	794	1,125	1,187	1,656	2,278	2,839	3,414	4,440	5,723	1,365	1,474	1,581	1,832
S&M	326	288	391	403	428	478	600	683	823	1,012	291	309	328	355
G&A	251	206	265	272	301	396	451	505	580	650	217	235	223	282
R&D	501	404	545	586	635	911	945	1,125	1,407	1,814	451	494	473	652
Opex	1,078	898	1,201	1,261	1,365	1,785	1,996	2,313	2,810	3,476	959	1,038	1,024	1,289
OP income	(379)	(104)	(76)	(74)	291	493	842	1,101	1,631	2,247	406	436	558	543
Pretax income	(335)	(36)	(11)	175	438	816	905	1,301	1,697	2,333	480	425	746	555
Net income	(397)	(41)	(45)	94	378	799	698	1,128	1,534	2,093	443	255	619	509
EBITDA	(298)	(48)	(41)	(47)	320	545	895	1,154	1,678	2,291	433	462	586	568
EPS (diluted, Rmb)	(0.09)	(0.01)	(0.01)	0.02	0.08	0.18	0.15	0.25	0.34	0.46	0.10	0.06	0.14	0.11
Margins														
GM	71.5%	66.5%	67.5%	56.9%	61.4%	76.0%	73.6%	72.2%	72.0%	72.0%	75%	72%	71%	73%
OPM	-38.7%	-8.7%	-4.6%	-3.6%	10.8%	16.5%	21.8%	23.3%	26.4%	28.3%	22%	21%	25%	22%
NM	-40.5%	-3.4%	-2.7%	4.5%	14.0%	26.7%	18.1%	23.8%	24.9%	26.3%	24%	12%	28%	20%
YoY														
Revenues	3%	22%	40%	25%	29%	11%	29%	23%	30%	29%	32%	26%	22%	23%
Gross profits	42%	14%	42%	6%	39%	38%	25%	20%	30%	29%	32%	19%	16%	24%
OP income	na	na	na	na	na	69%	71%	31%	48%	38%	77%	65%	37%	25%
Net income	na	na	na	na	302%	111%	-13%	62%	36%	36%	46%	-49%	40%	99%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 12: Meitu Balance sheet and Cash flow statement

RMB mn	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Balance sheet										
Cash and equivalents	865	1,158	739	947	641	1,301	3,515	4,391	5,352	6,334
Net receivables	360	351	357	351	388	407	523	499	786	957
Inventory	14	1	5	26	54	73	7	153	57	214
Other current assets	2,102	1,379	1,424	1,092	1,546	2,489	1,340	1,340	1,340	1,340
Current assets	3,341	2,910	2,533	2,456	2,769	4,528	6,269	7,267	8,420	9,728
Net PP&E/Fixed assets	75	361	383	441	464	470	459	491	524	580
Net intangibles	498	393	777	660	776	520	397	507	501	495
Other long-term assets	702	844	1,054	1,447	1,759	1,529	2,163	2,163	2,163	2,163
Long term assets	1,275	1,598	2,215	2,549	2,998	2,519	3,019	3,162	3,189	3,238
Total assets	4,616	4,507	4,747	5,004	5,767	7,047	9,288	10,429	11,609	12,967
Accounts payable	597	660	804	734	735	786	733	1,073	1,204	1,116
Short-term debt	-	5	10	10	15	103	20	20	20	20
Current liabilities	731	814	1,049	1,069	1,264	1,820	3,355	3,695	3,826	3,737
Long-term debt	-	-	-	-	-	-	-	-	-	-
Long term liabilities	149	126	183	226	389	194	296	296	296	296
Total liabilities	881	939	1,232	1,295	1,653	2,014	3,651	3,991	4,122	4,033
Common stock	0	0	0	0	0	0	0	0	0	0
Capital surplus and reserves	(66)	(108)	(92)	37	84	221	1,158	1,158	1,158	1,158
Total common equity	3,638	3,554	3,516	3,770	4,109	5,027	5,668	6,469	7,558	9,044
Minority interest	97	14	(1)	(60)	5	6	(30)	(52)	(92)	(132)
Total equity	3,735	3,568	3,516	3,710	4,114	5,033	5,638	6,417	7,466	8,912
BVPS	0.9	0.8	0.8	0.8	0.9	1.1	1.2	1.4	1.7	2.0
Cash conversion cycle										
Net receivable days	165	109	78	62	50	48	44	39	38	40
Inventory days	245	7	2	6	14	32	14	22	22	22
Net payable days	971	574	494	313	258	387	272	250	240	190
Cash conversion cycle	(562)	(458)	(414)	(244)	(194)	(306)	(213)	(189)	(180)	(128)
Ratios										
ROE (common equity)	-11%	-1%	-1%	3%	10%	17%	13%	19%	22%	25%
ROA	-8%	-1%	-1%	2%	7%	12%	9%	11%	14%	17%
Net debt to total equity	-23%	-32%	-21%	-25%	-15%	-24%	-62%	-68%	-71%	-71%

RMB mn	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash flow statement										
Net income	(397)	(41)	(45)	94	378	799	698	1,128	1,534	2,093
Minority interest add-back	(8)	(19)	(33)	(75)	(12)	(0)	(1)	(22)	(40)	(40)
Depreciation and amortization	80	56	35	27	29	52	53	53	47	44
Net loss/(gain) on asset sales	1	(1)	(0)	-	-	-	-	-	-	-
Working capital	219	85	134	(84)	(64)	12	(104)	219	(61)	(415)
Other operating cash flow items	116	10	(118)	272	82	(117)	611	-	-	-
Cash flow from operating	12	89	(26)	234	413	746	1,257	1,379	1,479	1,682
Capital expenditure	(13)	(353)	(688)	(51)	(56)	(53)	(50)	(52)	(67)	(87)
Other investment cash flow items	486	626	357	34	(588)	60	256	(123)	(7)	(7)
Cash flow from investing	473	273	(330)	(17)	(645)	7	206	(175)	(74)	(94)
Dividends paid	-	-	-	(78)	(146)	(234)	(202)	(327)	(445)	(607)
Change in common stock	0	-	0	0	-	0	-	-	-	-
Increase in short-term debt	(10)	5	5	-	5	88	(83)	-	-	-
Increase in long-term debt	-	-	-	-	-	-	-	-	-	-
Other financing cash flow items	(145)	(48)	(56)	41	60	42	1,053	-	-	-
Cash flow from financing	(155)	(43)	(51)	(37)	(81)	(104)	768	(327)	(445)	(607)
Others (FX impact)	3	(26)	(11)	28	7	12	(17)	-	-	-
Net change in cash	333	294	(419)	208	(306)	661	2,213	877	961	982
Free cash flow	(1)	(263)	(714)	183	357	693	1,207	1,327	1,412	1,596
Ratios										
Capex to revenues	1%	30%	41%	2%	2%	2%	1%	1%	1%	1%

Source: Company data, Goldman Sachs Global Investment Research

Key upside/ downside risks

1. Slower/ Faster-than-expected AI adoption and monetization: The company rolled out new AI products/ features in 2022-23, driving user interest and supporting long-term growth. We see slower AI adoption in leisure tools. If the AI adoption is slower/ faster-than-expected, it could create downside/ upside risk to our estimates and view.

2. Lower/ Higher-than-expected user paying ratio: We expect the paying ratio to reach over 10% in 2030E, driven by product mix upgrade and enhanced features. There would be downside/ higher risk if users' paying ratio is lower/ higher than expected due to a challenging macro and consumer environment.

3. Fiercer/ Better-than-expected competition: Meitu faces competition from other AI image/ video tools and GenAI models. If peers offer similar products, or if new or no entrants emerge, it could lead to market share losses or pricing pressures, leading to downside or upside risks to the company's earnings.

Investment Thesis - Meitu

Meitu is transforming from a "Beautifying tool" to an "AI photo & video generator & editor app" with generative AI, expanding its market from consumer entertainment to enterprise (e.g., e-commerce, advertising) productivity tools, driving MAU, paying ratios, and ARPU. We are positive on Meitu as a global leader in photo beautification. Meitu enjoys a strong brand image in aesthetics and a global database in photo editing, positioning it to capitalize on the generative AI trend. Catalysts include: (1) roll-out of new AI tools; (2) ramp up in new overseas markets; (3) accelerated migration to token fees; and (4) AI model upgrades. However, we believe the positives are already priced in. Our TP implied 2027E P/E is in line with company's recent trading P/E, and we see the valuation is fair. We are Neutral rated on Meitu.

Price Target Risks and Methodology - 1357.HK

We derive our 12-month target price of HK\$5.1 from a two-stage DCF, where we incorporate a WACC of 11.5% and terminal growth at 2% YoY. We are Neutral rated on Meitu.

Key risks include 1) slower/ faster-than-expected AI adoption and monetization, 2) lower/ higher-than-expected paying ratios, and 3) fiercer/ better-than-expected competition.

Price Target Risks and Methodology - Yonyou

Valuation methodology: We are Sell-rated on Yonyou with a 12-month target price of Rmb8.00 based on 2-stage DCF methodology, where we incorporate a WACC of 10.8% and terminal growth rate of 2% in order to capture the company's intrinsic value and long-term growth potential.

Key upside risks: 1) faster-than-expected AI ERP adoption; 2) stronger-than-expected large-scale client spending; and 3) faster-than-expected client penetration.

Disclosure Appendix

Reg AC

We, Allen Chang, Verena Jeng and Ting Song, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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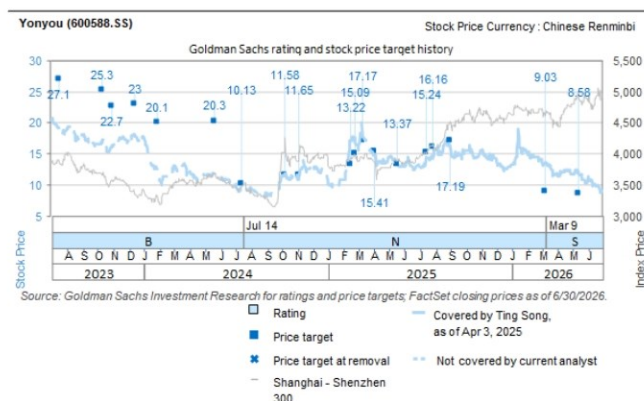
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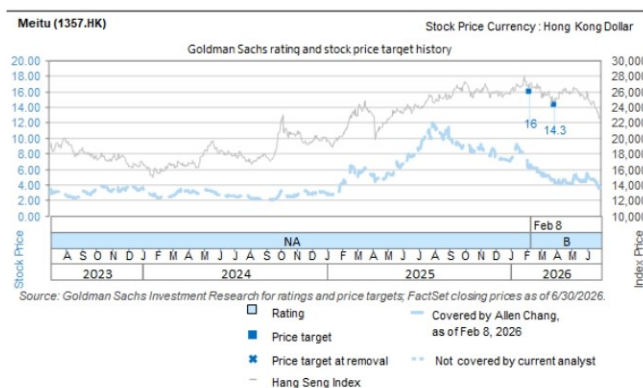
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The price targets shown should be considered in the context of all prior published Goldman Sachs research, which may or may not have included price targets, as well as developments relating to the company, its industry and financial markets.

Target price history table(s)

Yonyou (600588.SS)

Date of report	Target price (Rmb)	Closing price (Rmb)
15-May-26	8.58	11.51
09-Mar-26	9.03	13.69
01-Sep-25	17.19	16.24
28-Jul-25	16.16	14.36
16-Jul-25	15.24	14.40
19-May-25	13.37	13.30
04-Apr-25	15.41	14.81
10-Mar-25	17.17	18.03
24-Feb-25	15.09	16.78
16-Feb-25	13.22	18.30
03-Nov-24	11.65	10.91
07-Oct-24	11.58	11.50
14-Jul-24	10.13	9.19
20-May-24	20.30	11.99
28-Jan-24	20.10	12.66
14-Dec-23	23.00	18.12
29-Oct-23	22.70	16.14
10-Oct-23	25.30	16.76

Meitu (1357.HK)

Date of report	Target price (HK\$)	Closing price (HK\$)
14-Sep-26	10.80	4.22
31-Jul-26	12.30	4.72
31-Mar-26	14.30	4.29
08-Feb-26	16.00	6.24

Price targets shown in table(s) are unadjusted for corporate actions.

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